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EQUITY RESEARCH · INITIATION OF COVERAGE
METALS & MINING — ROYALTIES & STREAMING
October 27, 2026

Franco-Nevada Corporation

Best in class, and priced like it

[Analyst Name], Analyst · Northwall Research

RATING	PRICE TARGET	PRICE
HOLD	US$250.00	US$230.76

NYSE / TSX: FNV · Implied return 8.3% + 0.8% dividend yield = 9.1% total

KEY STATISTICS

Shares O/S (M)	192.9	Mkt cap (US$M)	44,514
Dividend (US$)	1.76	Yield	0.8%
NWR NAVPS (US$)	138.88	P/NAV	1.66x
Cash (US$M)	1,014	Debt	Nil
EV (US$M)	43,499	EV/EBITDA 27E	21.7x
Avail. capital (US$B)	4.3	52-wk range	181.50–285.67

NORTHWALL ESTIMATES

FY Dec	2025A	2026E	2027E	2028E
Gold price (US$/oz)	—	4,200 H2	4,000	3,800
GEOs sold (000 oz)	519.1	551.8	572.0	570.0
Revenue (US$M)	1,823	2,384	2,219	2,101
Adj. EBITDA (US$M)	1,656	2,163	2,003	1,893
Adj. EPS (US$)	5.58	7.72	6.71	6.25
CFPS (US$)	7.75	9.86	9.00	8.51
P/E (x)	41.4x	29.9x	34.4x	36.9x
P/CF (x)	29.8x	23.4x	25.6x	27.1x
DPS (US$)	1.52	1.76	1.92	2.08

All values in US$ unless noted. Priced at the October 26, 2026 close. 2025A from company filings; 2026E includes reported H1-26 actuals.

VALUATION

Our US$250 target blends 2.0x our NAVPS of US$138.88 (5% real discount rate, US$3,500/oz long-term gold) with 25x our 2027E CFPS of US$9.00, weighted equally. At 1.7x NAV and ~26x 2027E cash flow the shares already capture most of the quality we see; we would become buyers below ~US$215.

Investment summary

Franco-Nevada is the largest and most diversified gold-focused royalty and streaming company, with no debt and an adjusted EBITDA margin above 90%. We initiate at **HOLD** with a US$250 target. We like the business without reservation; our hesitation is the price. The shares trade at 1.7x our NAV and roughly 26x our 2027E cash flow, and our estimates assume gold eases from about US$4,000/oz today toward US$3,500/oz by 2030. That leaves a ~9% total return to our target, below our 15% hurdle for a BUY.

Investment thesis

- **Quality is real and measurable.** H1-26 revenue of US$1.23B (+67% y/y) converted to US$1.12B of adjusted EBITDA (91% margin). No single asset exceeds 10% of revenue.
- **Growth is visible but measured.** We model 552k GEOs in 2026E (upper half of 510–570k guidance) rising to 600k by 2030E, inside management's 555–615k outlook — about 3% a year.
- **Cobre Panamá is the swing factor.** Stockpile processing has begun. We carry a full restart at a 35% probability (US$8.44/sh); an unrisked restart is worth ~US$24/sh.
- **Balance sheet is a call option on deals.** US$4.3B of available capital gives FNV the most firepower in the group, but we do not pay for acquisitions it has not yet made.

Upcoming catalysts

- Q3-26 results (Nov 11) — first Cobre Panamá stockpile deliveries
- Côté Gold reserve update and 40ktpd mine plan (Q4-26)
- Copper World sanction decision (late-26); Castle Mountain and AurMac investment decisions (H1-27)
- Panama ministerial commission ruling on the mine's future (timing open)
- 2027 guidance and potential 20th straight dividend increase (Mar-27)

Key risks to our view

- **Upside:** gold above US$4,000/oz, Cobre Panamá restart, accretive M&A
- **Downside:** gold correction, operator delays, royalty-group de-rating

02 INVESTMENT THESIS

A premium franchise at a premium price

Franco-Nevada does almost everything right. The question for investors at US$231 is not whether this is a good company, but how much of that is already in the share price.

01 The quality is real — and visible in the numbers

Royalty and stream holders take a share of a mine's output without paying for its operating costs or capital overruns. Franco-Nevada runs that model at scale: Q2-26 cost of sales was just US$45.9M against US$580.9M of revenue, and adjusted EBITDA margin was 91%. The company carries no debt, held US$1.01B of cash at June 30, 2026, and reports US$4.3B of available capital including its undrawn credit facilities and equity investments.

Diversification is the second pillar. In Q2-26, 86% of revenue came from precious metals (70% gold, 14% silver, 2% PGM), 88% came from the Americas, and no single asset generated more than 10% of revenue. This is what lets FNV ride out events that would be existential for a single-asset producer — the loss of Cobre Panamá, once its largest asset, in late 2023 is the clearest example.

02 Growth is visible, but it is measured growth

Our 2026E of 552k GEOs sits in the upper half of the 510–570k guidance range, consistent with management's own commentary. H1-26 delivered 269k GEOs, and we expect a heavier H2 as Candelaria moves into higher-grade Phase 12 ore, Côté Gold runs near capacity after its crusher and conveyor fixes, and Tocantinzinho, Greenstone and Valentine step up.

Beyond 2026 the pipeline is credible — Stibnite (2029), Copper World (H2-29), Bullabulling (Q4-28), the Detour underground, Odyssey at Canadian Malartic and the Valentine Phase 2 expansion. But management's own 2030 outlook of 555–615k GEOs, excluding Cobre Panamá, implies roughly 13% total growth from 2025. We model 600k GEOs in 2030E, or about 3% a year. That is respectable for a business of this size, but it does not on its own justify a premium multiple expanding further.

03 Cobre Panamá: real progress, unresolved outcome

The Panamanian government authorized stockpile processing in April 2026, first concentrate followed in May, and the SGS integral audit reported 87.7% overall compliance. First Quantum expects about 70,000 tonnes of copper from the stockpiles across 2026 and 2027, which FNV expects to translate into roughly 23,100 oz of gold and 265,000 oz of silver, with about one third delivered in H2-26. We include all of it in our forecasts.

A full restart is a different matter. Management has indicated the stream could deliver 150–175k GEOs a year at full capacity — roughly a quarter of today's portfolio. A ministerial commission is now reviewing the mine's future, but there is no timeline. We value a restart from 2029 at 150k GEOs a year and apply a 35% probability, worth US$8.44 per share. Unrisked, the stream would add ~US$24/sh to our NAV. This is the single largest source of upside to our target.

04 The valuation already credits the quality

At US$230.76, FNV trades at 1.66x our NAVPS and 25.6x our 2027E CFPS. The stock is down about 12% over the past month as gold pulled back to roughly US$4,000/oz, but it remains about 12% higher year-to-date. Our gold deck steps down from US$4,000/oz in 2027 to US$3,500/oz long term, which is below spot. If gold holds at today's level, our framework supports a value nearer US$266; if it falls to US$3,000/oz, our value drops to about US$206 (Exhibit 4).

> **Where we would change our mind.** A pullback below ~US$215 would lift the expected total return above our 15% BUY hurdle. A confirmed Cobre Panamá restart path, or a large acquisition at an attractive return, would raise our target directly.

03 VALUATION

Price target derivation

We value FNV on a 50/50 blend of P/NAV and P/CF. NAV captures the long life of the portfolio; cash flow keeps the target anchored to what the business earns today.

EXHIBIT 1 Net asset value build (valuation date Dec 31, 2026)

Component	US$M	US$/sh
Royalty & stream portfolio (5% real)	20,274	105.05
Cobre Panamá restart (35% risked)	1,628	8.44
Exploration & undeveloped optionality	2,000	10.36
Cash (2026E year-end)	1,685	8.73
Equity investments (incl. LIORC)	1,215	6.30
Net asset value	**26,803**	**138.88**

Portfolio cash flows: our GEO forecast to 2030E, flat at 600k GEOs to 2035, then a 4% annual decline to 2060. After-tax cash flow is taken as 81% of EBITDA. Gold deck US$4,000 (2027), US$3,800 (2028), US$3,600 (2029), US$3,500 long term. Mid-year discounting.

EXHIBIT 2 Price target

Method	Metric	Multiple	Value	Weight
P/NAV	138.88	2.0x	277.75	50%
P/CF 2027E	9.00	25.0x	224.94	50%
Blended			**251.35**	
Price target (rounded)			**250.00**	

We apply 2.0x NAV, a premium that reflects FNV's diversification, debt-free balance sheet and execution record. Our 25x 2027E cash flow multiple is close to where the shares trade on trailing cash flow today (~25x) and above the ~15–20x at which the two closest peers trade on annualized H1-26 cash flow (Exhibit 3).

EXHIBIT 3 Senior royalty and streaming peers — annualized H1-26 metrics

Company	Ticker	Price (US$)	Mkt cap (US$B)	P/E (H1-26 ann.)	P/CF (H1-26 ann.)	Net cash (debt)
Franco-Nevada	**FNV**	**230.76**	**44.5**	**27.5x**	**22.2x**	**US$1.0B cash**
Wheaton Precious Metals	WPM	124.59	56.6	25.1x	20.0x	(US$1.9B)
Royal Gold	RGLD	234.11	19.8	22.9x	14.8x	US$0.3B drawn

Source: company Q2-26 filings; Northwall calculations. FNV and RGLD priced at October 26, 2026 close; WPM at October 27 intraday. P/E and P/CF use H1-26 adjusted EPS and operating cash flow per share annualized (RGLD uses Q2-26 annualized). Net debt as at June 30, 2026 (RGLD post July repayment).

EXHIBIT 4 Sensitivity to the gold price (flat deck from 2027)

Long-term gold	NAVPS (US$)	P/NAV	2027E CFPS (US$)	Implied value (US$)	vs. price
US$3,000	120.67	1.91x	6.82	206	-11%
US$3,500	**137.04**	**1.68x**	**7.91**	**236**	**+2%**
US$4,000	153.41	1.50x	9.00	266	+15%
US$4,500	169.77	1.36x	10.09	296	+28%

Implied value applies our 2.0x NAV and 25x CFPS multiples at each price. The highlighted row approximates our base deck; our base case is slightly higher because 2027–2029 sit above US$3,500/oz.

04 CATALYSTS

What could move the stock

Most near-term catalysts are incremental de-risking of growth already in our model. Cobre Panamá is the one binary event.

Timing	Event	Why it matters
Nov 11, 2026	Q3-26 results	First Cobre Panamá stockpile deliveries; tests H2-weighting and our 138k GEO Q3 estimate
Q4 2026	Côté Gold reserve and mine plan (IAMGOLD)	Path to 40ktpd on a 7.5% gross metal royalty; 20.3 Moz M&I resource now consolidated with Gosselin
Q4 2026	Archimedes first gold (i-80 Gold)	New Nevada production on a 1.5% royalty
Late 2026	Copper World sanction (Hudbay); PSJ Cobre Mendocino feasibility study	Two long-life copper-gold assets that underpin 2029+ growth
Q4 2026 – H1 2027	Castle Mountain and AurMac permits, then investment decisions	Converts development royalties into funded projects
Q1 2027	Bullabulling definitive feasibility study	PFS outlines ~150 koz/yr for 19 years from Q4-28 on a 2.45% royalty
Mar 2027	2027 guidance; annual dividend decision	Guidance reset at new price assumptions; 20th straight increase likely
Open	Panama ministerial commission on Cobre Panamá	Restart path worth up to ~US$24/sh unrisked; closure removes our US$8.44/sh
H2 2027 – 2029	Candelaria underground ramp; Valentine Phase 2; Stibnite start-up	Delivers the 2030 outlook

05 RISKS

Downside scenarios, sized

Our bear case of ~US$153 and bull case of ~US$355 bracket our US$250 target. From today's price that is roughly US$78 of downside against US$124 of upside.

Risk	Description	Estimated impact
Gold price	Roughly 70% of revenue is gold. Our deck already sits at or below spot, but a deeper correction would compress both earnings and multiples.	Each US$250/oz moves 2027E CFPS by ~6%
Cobre Panamá	Permanent closure, or a restart on terms that impair the stream.	–US$8.44/sh to NAV (~6%)
Operator execution	Grade sequencing at Candelaria, Côté ramp-up, Valentine guidance cut post-Orla merger.	10% GEO shortfall in 2027 ≈ 10% lower CFPS
Capital allocation	Pressure to deploy US$4.3B at cycle-high gold prices risks paying too much for growth.	Hard to size; value-destructive at scale
Tax	CRA reassessments, global minimum tax, PFIC status for U.S. holders.	Each 1pt on tax rate ≈ 1.3% of earnings
Energy prices	Oil, gas and NGL were ~12% of Q2-26 revenue.	US$10/bbl WTI ≈ 12% of oil revenue (company)
Multiple compression	Royalty premiums can narrow when gold equities fall out of favour.	1.5x NAV / 20x CF ≈ US$194/sh

Bear: US$3,000/oz flat, no Cobre restart, 1.5x NAV and 20x CF. Bull: US$4,500/oz flat, full Cobre restart, 2.25x NAV and 28x CF.

06 FINANCIAL SUMMARY

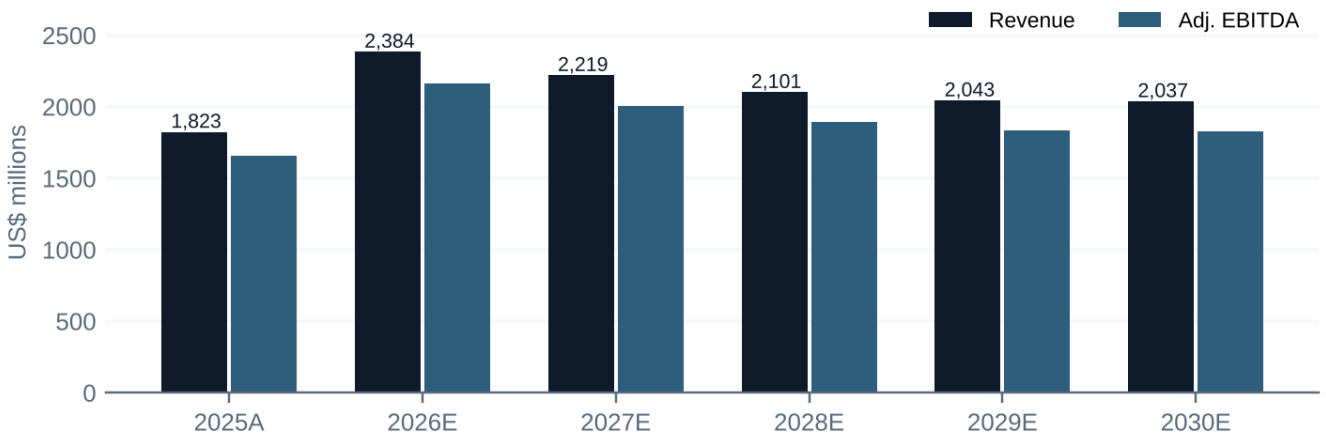
Northwall model

2025A from the annual report; 2026E combines reported H1 results with our H2 forecast. US$ millions unless noted.

FY Dec	2025A	2026E	2027E	2028E	2029E	2030E
Gold price assumption (US$/oz)	—	4,200 (H2)	4,000	3,800	3,600	3,500
GEOs sold (000 oz)	519.1	551.8	572.0	570.0	585.0	600.0
Revenue	**1,823**	**2,384**	**2,219**	**2,101**	**2,043**	**2,037**
Costs of sales	(169)	(182)	(173)	(164)	(159)	(159)
Adj. EBITDA	**1,656**	**2,163**	**2,003**	**1,893**	**1,838**	**1,831**
Adj. EBITDA margin	91%	91%	90%	90%	90%	90%
Depletion & depreciation	(307)	(342)	(369)	(370)	(383)	(396)
Adj. net income	**1,075**	**1,490**	**1,298**	**1,211**	**1,158**	**1,143**
Basic shares (M)	192.7	193.0	193.4	193.8	194.2	194.6
Adj. EPS (US$)	**5.58**	**7.72**	**6.71**	**6.25**	**5.96**	**5.87**
Operating cash flow	1,494	1,904	1,740	1,649	1,606	1,603
CFPS (US$)	**7.75**	**9.86**	**9.00**	**8.51**	**8.27**	**8.24**
Dividend per share (US$)	1.52	1.76	1.92	2.08	2.24	2.40
Cash, year-end (no debt)	**671**	**1,685**	**2,554**	**3,300**	**3,972**	**4,608**

Key assumptions: realized revenue per GEO at 97% of the gold price (in line with H1-26); costs of sales 7.8% of revenue; G&A and share-based compensation US$42M growing 3% a year; tax rate 22% (H1-26 effective ~22%); cash taxes 80% of the total; US$500M a year of acquisitions from 2027 with no production credit taken; dividend growing ~US$0.16/share a year. 2026 GEOs reported at the company's fixed guidance conversion ratios. 2026E adjusted EPS includes the US$63.8M Q1 Cascabel buy-back gain, which FNV no longer excludes from adjusted net income.

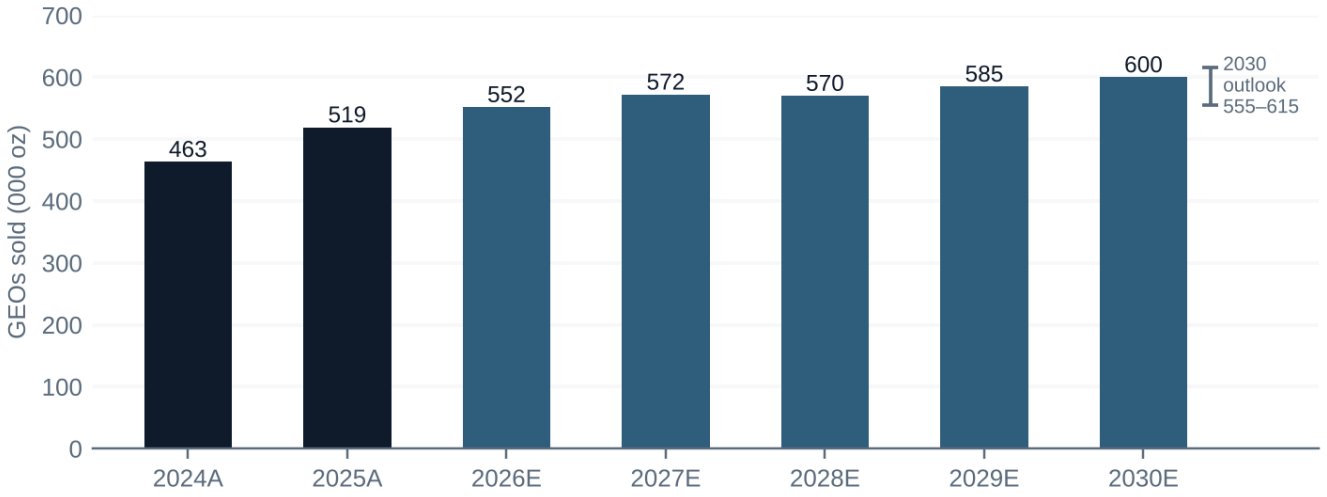
EXHIBIT 5 **Revenue and adjusted EBITDA (US$M)**



07 CHARTS & EXHIBITS

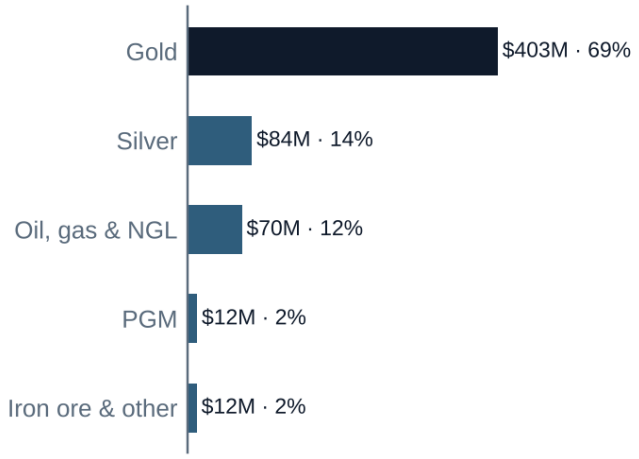
Supporting exhibits

EXHIBIT 6 GEOs sold: steady growth inside the 2030 outlook (000 oz)



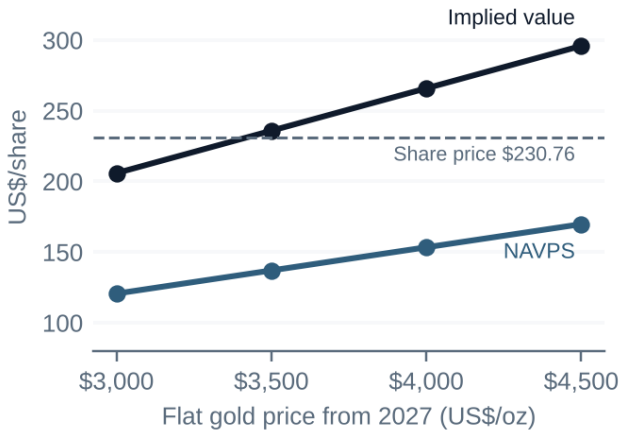
2024A–2025A navy; Northwall estimates steel blue. 2026E–2027E include Cobre Panamá stockpile deliveries; no restart assumed. Source: company filings, Northwall estimates.

EXHIBIT 7 Q2-26 revenue by commodity



Total US$580.9M. Source: FNV Q2-26 release.

EXHIBIT 8 Value vs. long-term gold price



NAVPS and implied value (2.0x NAV / 25x CFPS) on a flat gold deck. Source: Northwall estimates.

08 DISCLAIMERS

Important disclosures

Rating definitions

BUY: expected 12-month total return (price appreciation plus dividends) above 15%. **HOLD:** expected total return between 0% and 15%. **SELL:** expected total return below 0%. Price targets are 12-month forward.

Sources and methodology

Financial information is taken from Franco-Nevada Corporation's public disclosure, including its news release and condensed interim financial statements for the quarter ended June 30, 2026 (dated August 11, 2026) and its 2025 annual results (dated March 10, 2026). Peer data are drawn from Wheaton Precious Metals' and Royal Gold's Q2-26 releases. Market prices are as at October 26, 2026 unless otherwise stated. All forecasts, the net asset value, the price target and the rating are Northwall Research's own estimates and reflect our assumptions on commodity prices, production, costs and discount rates, any of which may prove wrong.

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Forward-looking statements regarding Franco-Nevada's operations, the operations of the third-party mines that underlie its royalties and streams, commodity prices, and the outcome of regulatory processes, including those relating to Cobre Panamá, are inherently uncertain. Actual results may differ materially.

Analyst certification

The views expressed in this report accurately reflect the analyst's personal views about the subject company and its securities. No part of the analyst's compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this report.

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